

EXAM REVISION EDITION

HRM

Ultra High-Density Handwritten Notes

Complete Exam Revision Guide

Subject: Human Resource Management

Topics Covered: 54 High-Yield Exam Topics

Units: 5 Complete Units

Includes: Flowcharts, Case Studies, Memory Tricks & More

54 Topics

5 Units

Case Studies

Mnemonics



Premium Topper Handwritten Notes Style | Fast Revision Format

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UNIT I

Introduction to HRM

Definition, Objectives, Scope, Functions, Line vs Staff, HR Planning & Flowchart

Definition of HRM

HRM = Recruiting, selecting, training, developing & maintaining employees to achieve organizational goals effectively.

Core Definitions

- ★ **Flippo:** "Planning, organizing, directing & controlling of procurement, development, compensation, integration & maintenance of people."
- ★ **Dale Yoder:** "Management of human resources = management of all organizational personnel."
- ★ **Essence:** People are the most valuable asset → HRM maximizes their potential.

Key Characteristics

- ✓ People-centric approach
- ✓ Continuous process
- ✓ Goal-oriented
- ✓ Universal application
- ✓ Dynamic & adaptive
- ✓ Multidisciplinary
- ✓ Strategic function
- ✓ Pervasive (all levels)

Analytical View

Why HRM matters:

- 🧠 Companies with strong HRM → 22% higher revenue per employee
- 🧠 Without HRM → high turnover, low morale, legal risks
- 🧠 HR perspective: Bridge between management & employees

Real-World Example

Google's People Operations: Data-driven HR → Project Oxygen identified 8 key behaviors of great managers → reduced bias in promotions → increased employee satisfaction by 15%.

Memory Trick

- H**ire the right people
- R**etain top talent
- M**otivate employees

1-Minute Revision

- People-centric
- Planning to Maintenance
- Strategic Function
- Flippo = 5 Functions
- Universal & Pervasive
- Google People Ops

Objectives of HRM

HRM aims to achieve organizational goals through effective management of human capital while ensuring employee satisfaction & development.

Primary Objectives

- ★ **Societal:** Be ethically & socially responsible to the needs of society
- ★ **Organizational:** Achieve organizational goals & increase effectiveness
- ★ **Functional:** Maintain HR department's contribution at appropriate levels
- ★ **Personal:** Assist employees in achieving their personal goals

Specific Objectives

- ✓ Effective utilization of human resources
- ✓ Desirable working relationships among members
- ✓ Maximum individual development
- ✓ Competitive advantage through people
- ✓ Quality of work life (QWL) improvement

Objective Categories Table

Level	Focus	Example
Societal	Social responsibility	Equal opportunity, diversity
Organizational	Business goals	Productivity, profit
Functional	HR efficiency	Right people, right place
Personal	Employee growth	Career development, satisfaction

Analytical View

Examiner's Lens:

- 🧠 Balancing organizational & personal objectives = key HRM challenge
- 🧠 If ignored: Conflict, unionization, high attrition

Memory Trick

- S**ocietal → Social responsibility
- O**rganizational → Business goals
- F**unctional → HR efficiency
- P**ersonal → Employee growth

Mnemonic: "SOFP" = Some Organizations Find People

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Scope & Importance of HRM

Scope = Areas covered by HRM. **Importance** = Why HRM matters at different levels.

Scope of HRM

- ★ **Procurement:** HR planning, recruitment, selection, placement
- ★ **Development:** Training, career development, succession planning
- ★ **Compensation:** Wages, salary, incentives, benefits
- ★ **Integration:** Motivation, morale, industrial relations
- ★ **Maintenance:** Health, safety, welfare, employee records
- ★ **Emerging:** OD, TQM, culture management, HRIS

Importance at Different Levels

Level	Importance
Enterprise	Optimum resource use, goal achievement, quality workforce, talent retention
Employee	Fair treatment, growth opportunities, job satisfaction, work-life balance
Society	Employment generation, skill development, community welfare
Nation	Economic growth, human capital development, competitiveness

Emerging Areas in HRM

- 💡 HR Analytics & Big Data
- 💡 Artificial Intelligence in HR
- 💡 Remote work management
- 💡 Employer branding
- 💡 Diversity & Inclusion
- 💡 Employee wellness programs

Real-World Example

Infosys: Expanded HR scope to include "Talent Analytics" → Uses AI for resume screening → 40% reduction in hiring time → improved quality of hire by 25%.

Memory Trick — Scope Areas

- P**rocurement → Get people
- D**evelopment → Grow people
- C**ompensation → Pay people
- I**ntegration → Unite people
- M**aintenance → Keep people

Mnemonic: "PDCIM" = People Develop, Companies Invest Money

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PDCIM Scope Enterprise Level Employee Level Society Level Emerging: HRIS, AI, Analytics Infosys AI Hiring

Functions of HRM

HRM functions are grouped into Managerial (planning, organizing, directing, controlling) & Operative (procurement, development, compensation, maintenance).

Managerial Functions

- ★ **Planning:** Forecasting manpower needs, strategies
- ★ **Organizing:** Structuring roles, responsibilities, authority
- ★ **Directing:** Motivation, leadership, communication
- ★ **Controlling:** Performance standards, corrective action

Operative Functions

- 🔥 **Procurement:** Recruitment, selection, placement, induction
- 🔥 **Development:** Training, career planning, management development
- 🔥 **Compensation:** Wages, incentives, benefits, social security
- 🔥 **Integration:** Conflict resolution, employee relations, discipline
- 🔥 **Maintenance:** Health, safety, welfare, records
- 🔥 **Emerging:** HR research, HR audit, OD, HRIS

Advisory Functions

- ✚ Advise **Top Management** on HR policies & strategies
- ✚ Advise **Departmental Heads** on personnel matters

Functions at a Glance

Type	Functions	Focus
Managerial	P-O-D-C	Strategic management
Operative	S + Emerging	Day-to-day HR operations
Advisory	Top + Dept heads	Guidance & counseling

Real-World Example

Amazon: Managerial function → workforce planning for peak seasons (150% staff increase). Operative function → "Career Choice" program pre-pays 95% tuition for in-demand fields.

Memory Trick

- P** lanning → What to do
- O** rganizing → How to structure
- D** irecting → Getting it done
- C** ontrolling → Check results

Mnemonic: "PODC" = Plan, Organize, Direct, Control

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PODC = Managerial

5 Operative Functions

Advisory to Top + Dept

Procurement to Maintenance

Emerging: HRIS, Audit

Amazon Career Choice

Line Manager vs Staff Manager

Line Manager: Directly manages core business operations & people. **Staff Manager:** Provides specialized support & advice to line managers.

Key Differences

Aspect	Line Manager	Staff Manager
Authority	Direct (command)	Indirect (advisory)
Function	Core operations	Support functions
Chain	In line hierarchy	Outside line hierarchy
Decisions	Implements decisions	Recommends decisions
Example	Production manager	HR manager
Focus	Results, output	Systems, policies

Line & Staff Relationship

- ⚠ **Line Authority:** Right to command subordinates in chain of command
- ⚠ **Staff Authority:** Right to advise, not command
- 🧠 **Functional Authority:** Limited command over specific processes (e.g., safety rules)

HR as Staff Function

- ✚ HR advises line managers on people matters
- ✚ Line managers execute HR policies
- ✚ Modern trend: HR becoming strategic partner
- ✚ Shared responsibility: Both line & HR manage people

Common Confusion: Staff managers have NO direct authority over line employees. They only RECOMMEND, not ORDER.

Real-World Example

Tata Group: Line manager = Plant head (production targets). Staff manager = HR Business Partner (recruitment strategy, talent pipeline). Both collaborate for plant success.

Memory Trick

LINE = Leads, Implements, Now, Executes
STAFF = Supports, Tells, Advises, Facilitates, Follows-up

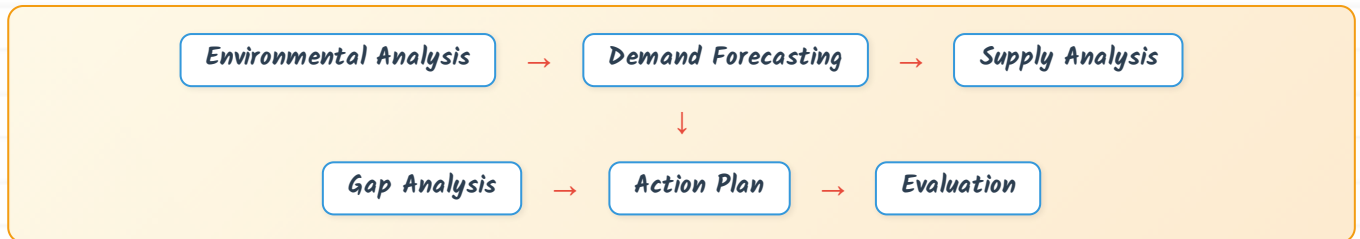
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Line = Direct Authority Staff = Advisory Only Functional = Limited Command HR = Staff Function
 Line Executes, Staff Advises Tata Plant + HRBP

Human Resource Planning (HRP)

HRP = Process of forecasting future HR needs & ensuring the right number of people with right skills are available at the right time.

HRP Process Flowchart



Key Steps Explained

- ★ **Demand Forecasting:** Estimate future personnel needs (quantity + quality)
- ★ **Supply Analysis:** Internal (promotions, transfers) + External (labour market)
- ★ **Gap Analysis:** Surplus (overstaffing) or Deficit (understaffing)
- ★ **Action Plan:** Recruitment, training, layoffs, restructuring

Forecasting Techniques

Qualitative

- 💡 Delphi Technique
- 💡 Expert Judgment
- 💡 Nominal Group

Quantitative

- 💡 Trend Analysis
- 💡 Ratio Analysis
- 💡 Regression Analysis

Factors Affecting HRP

- ⚠️ Organizational strategy & objectives
- ⚠️ Technological changes
- ⚠️ Labour market conditions
- ⚠️ Government policies & regulations
- ⚠️ Economic environment

Real-World Example

Microsoft: HRP for AI talent → Identified 30% gap in AI engineers by 2025 → Partnered with universities → Created internal AI upskilling program for 10,000+ employees.

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6 Steps: E-D-S-G-A-E

Qualitative vs Quantitative

Surplus = Overstaffing

Deficit = Understaffing

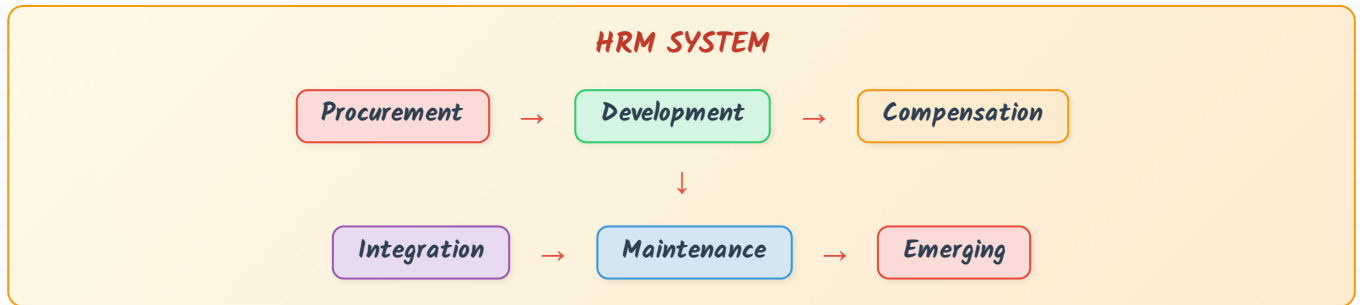
5 External Factors

Microsoft AI Upskilling

HRM Functions Flowchart

Complete visual map of all HRM functions from procurement to maintenance showing how each function connects to create a comprehensive HR system.

Complete HRM Function Flow



Sub-Functions Breakdown

Procurement

- ▶ HR Planning
- ▶ Job Analysis
- ▶ Recruitment
- ▶ Selection
- ▶ Placement
- ▶ Induction

Development

- ▶ Training
- ▶ Management Dev.
- ▶ Career Planning
- ▶ Succession Planning

Compensation

- ▶ Job Evaluation
- ▶ Wage/Salary Admin
- ▶ Incentives
- ▶ Benefits
- ▶ Social Security

Integration

- ▶ Motivation
- ▶ Communication
- ▶ Leadership
- ▶ IR & Conflict

Maintenance

- ▶ Health & Safety
- ▶ Employee Welfare
- ▶ Records
- ▶ Grievance Redressal

Emerging

- ▶ HR Research
- ▶ HR Audit
- ▶ OD
- ▶ HRIS

Trick: All functions are interconnected. Procurement feeds Development → leads to Compensation → affects Integration → needs Maintenance.

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6 Functions

P-D-C-I-M-E

Sub-functions in each

Interconnected

Managerial + Operative

Emerging = Future

UNIT 2

Recruitment & Selection

Recruitment, Sources, Selection Process, Job Analysis, Orientation & Socialization

Recruitment

Recruitment = Process of searching for prospective employees & stimulating them to apply for jobs. Positive process (encourages applications).

Recruitment Process Flowchart



Key Features of Recruitment

- ★ Positive process → attracts candidates
- ★ Creates applicant pool
- ★ No selection, only invitation
- ★ First step in staffing

Factors Affecting Recruitment

Internal Factors

- ▶ Recruitment policy
- ▶ HR planning
- ▶ Cost constraints
- ▶ Growth & expansion plans

External Factors

- ▶ Labour market conditions
- ▶ Unemployment rate
- ▶ Legal regulations
- ▶ Competitor practices

Exam Warning: Recruitment ≠ Selection. Recruitment = attracting pool. Selection = choosing from pool. Recruitment is POSITIVE, selection is NEGATIVE.

Real-World Example

Swiggy: Recruited 5,000+ delivery partners in 30 days during expansion → Used multi-channel approach: app-based hiring, referral programs, on-ground camps → reduced time-to-hire by 60%.

Memory Trick

Recruit = Reach, Reach out, Rally candidates

"Recruitment is a POSITIVE process – it INVITES"

1-Minute Revision

Positive Process

6 Steps

Internal + External Factors

Creates Applicant Pool

R ≠ Selection

Swiggy 5000 hires

Recruitment Sources

Sources = Where candidates come from. Two types: Internal (within organization) & External (outside organization).

Internal vs External Sources

Aspect	Internal	External
Source	Current employees	Outside labour market
Cost	Low	High
Time	Fast	Slow
Quality	Known capability	Fresh talent, new ideas
Morale	Boosts (promotions)	May demotivate internals
Examples	Transfer, promotion	Campus, job portals

Internal Sources

- ✓ Promotions
- ✓ Transfers
- ✓ Retired employees
- ✓ Employee referrals
- ✓ Previous applicants

External Sources

- ✓ Campus recruitment
- ✓ Job portals (Naukri, LinkedIn)
- ✓ Employment exchanges
- ✓ Walk-ins
- ✓ Consultants/Agencies
- ✓ Advertisements

Analytical View

When to use which?

- 🧠 Internal → Leadership roles, cultural fit needed, quick fill
- 🧠 External → New skills, innovation needed, diversity goals
- 🧠 Best practice: 70% internal, 30% external for balance

Trick: "Internal = Inside, Inexpensive, Instills motivation"

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5 Internal Sources

6 External Sources

Cost: Int < Ext

Time: Int < Ext

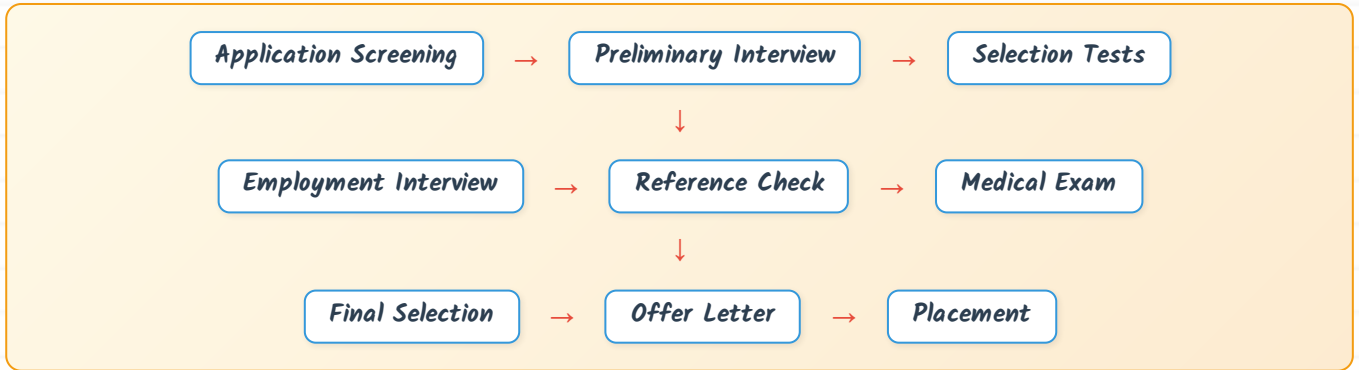
70:30 Ratio

Campus vs Referral

Selection Process

Selection = Process of choosing the most suitable candidates from applicant pool. Negative process (rejects unsuitable candidates).

Complete Selection Process



Selection Tests

- 🔥 **Intelligence Test:** Mental ability, IQ assessment
- 🔥 **Aptitude Test:** Potential to acquire skills
- 🔥 **Proficiency Test:** Current skill level
- 🔥 **Personality Test:** Behavioral traits, emotional stability
- 🔥 **Interest Test:** Likes, dislikes, preferences

Exam Warning: Selection is **NEGATIVE** → eliminates candidates. Each step is a hurdle → candidates can be rejected at ANY stage.

Types of Interviews

- ✚ Structured vs Unstructured
- ✚ Behavioral Interview
- ✚ Panel Interview
- ✚ Group Discussion
- ✚ Stress Interview
- ✚ Video Interview

Real-World Example

Google Selection: 4-5 rounds → Phone screen → On-site (4 interviews) → Hiring committee review → "Bar raiser" ensures quality. Acceptance rate: <0.2% of applicants.

Memory Trick

- S** creen applications
- P** reliminary interview
- T** ests administered
- I** nterview conducted

R eferences checked

M edical examination

O ffer made

Mnemonic: "SELECT ME" = Screen, Prelim, Test, Interview, Ref, Medical, Offer

1-Minute Revision

7-9 Steps

Negative Process

5 Test Types

Multiple Interview Types

Hurdle Process

Google <0.2%

Recruitment vs Selection

Both are staffing functions but differ in nature, purpose & process. Understanding differences is critical for exam answers.

Key Differences

Basis	Recruitment	Selection
Meaning	Searching & attracting candidates	Choosing best candidates
Nature	Positive (attracts)	Negative (eliminates)
Process	Application received	Application processed
Objective	Create applicant pool	Select best fit
Outcome	Large pool	Chosen candidates
Contract	No contract	Contract established
Expense	Less expensive	More expensive
Time	Shorter	Longer process

Relationship

- Recruitment PRECEDES Selection
- Recruitment provides INPUT for Selection
- Both are sub-functions of Procurement
- Together = Staffing process

Staffing Process Flow



Exam Tip: Always mention "Recruitment is positive, Selection is negative" in answer. Add this difference table for full marks.

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R = Positive

S = Negative

R = Attracts

S = Eliminates

R before S

8 Key Differences

Job Analysis

Job Analysis = Systematic process of collecting & analyzing information about jobs: tasks, responsibilities, skills, conditions required.

Components of Job Analysis

Job Description

- ▶ Job title
- ▶ Location
- ▶ Duties & tasks
- ▶ Working conditions
- ▶ Reporting structure

Job Specification

- ▶ Qualifications
- ▶ Experience
- ▶ Skills & knowledge
- ▶ Physical requirements
- ▶ Personal attributes

Methods of Job Analysis

- ★ **Observation Method:** Watch employees at work
- ★ **Interview Method:** Talk to employees & supervisors
- ★ **Questionnaire:** Structured form to employees
- ★ **Critical Incident:** Record key job behaviors
- ★ **PAQ (Position Analysis):** Standardized questionnaire
- ★ **Functional Job Analysis:** DOT-based analysis

Uses of Job Analysis

- ✚ Recruitment & Selection criteria
- ✚ Training needs identification
- ✚ Performance appraisal standards
- ✚ Compensation decisions
- ✚ Health & safety requirements

Real-World Example

TCS: Uses O*NET-based job analysis for all roles → Standardized skill mapping across 500+ job families → Enables internal mobility & targeted upskilling.

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JD + JS

6 Methods

5 Uses

Foundation of HRM

PAQ, FJA

TCS O*NET

Job Description

Job Description (JD) = Written record of duties, responsibilities & requirements of a specific job. Tells WHAT the job entails.

Contents of Job Description

- ★ **Job Title:** Official designation
- ★ **Job Location:** Where work is performed
- ★ **Job Summary:** Brief overview
- ★ **Duties & Responsibilities:** Specific tasks
- ★ **Working Conditions:** Environment, hours, hazards
- ★ **Machines & Tools:** Equipment used
- ★ **Reporting:** To whom employee reports
- ★ **Subordinates:** Who reports to this position

Importance of JD

- ✓ Clear expectations for employees
- ✓ Basis for recruitment advertising
- ✓ Legal protection in disputes
- ✓ Performance evaluation standard
- ✓ Training needs analysis

JD vs JS Comparison

Aspect	Job Description	Job Specification
Focus	The job itself	The person needed
Content	Duties, tasks, conditions	Qualifications, skills
Answers	"What is done?"	"Who can do it?"
Document	Job-focused	Person-focused

Memory Trick

JD = Job's Duties
JS = Job's Specialist (the person)

1-Minute Revision

8 Contents

JD = Job-Focused

JS = Person-Focused

JD answers WHAT

JS answers WHO

5 Uses

Job Specification

Job Specification (JS) = Statement of minimum acceptable human qualities required to perform a job successfully.
Tells WHO is qualified.

Contents of Job Specification

- ★ **Educational Qualifications:** Degrees, certifications
- ★ **Experience:** Years & type of prior work
- ★ **Skills:** Technical & soft skills
- ★ **Knowledge:** Domain expertise
- ★ **Physical Requirements:** Height, weight, vision, stamina
- ★ **Mental Requirements:** Intelligence, judgment, memory
- ★ **Personal Characteristics:** Age, appearance, temperament
- ★ **Emotional Stability:** Stress handling, maturity

Categories of Job Specifications

Essential (Must Have)

- ▶ Required qualifications
- ▶ Mandatory experience
- ▶ Core competencies

Desirable (Good to Have)

- ▶ Additional certifications
- ▶ Extra skills
- ▶ Language proficiency

Exam Warning: Job Specification is NOT the same as Job Description. JD = about the job, JS = about the person.
Both come from Job Analysis.

Real-World Example

Software Engineer JS at Amazon: BS in CS (essential) + 2+ years experience (essential) + Java/Python (essential) + AWS certification (desirable) + problem-solving skills (essential).

Memory Trick — SPEC

- S** kills
- P** hysical requirements
- E** ducation & Experience
- C** haracteristics (personal & mental)

1-Minute Revision

8 Contents

JS = Person-Focused

Essential vs Desirable

Comes from Job Analysis

SPEC Mnemonic

Amazon Example

Orientation / Induction

Orientation (Induction) = Process of introducing new employees to the organization, their job, colleagues & work environment.

Orientation Process



Types of Orientation

Formal

- ▶ Planned program
- ▶ Structured sessions
- ▶ Training modules
- ▶ Documentation

Informal

- ▶ On-the-job learning
- ▶ Buddy system
- ▶ Casual introductions
- ▶ Self-guided

Benefits of Orientation

- ✓ Reduces anxiety & nervousness
- ✓ Faster time-to-productivity
- ✓ Improves retention rates
- ✓ Builds organizational commitment
- ✓ Clarifies expectations

Common Mistake: Orientation ≠ Training. Orientation = getting familiar. Training = skill development. Orientation is SHORT-TERM (1-7 days), Training is LONG-TERM.

Real-World Example

Zomato: "Zomato Journey" induction → Day 1: Culture + Values → Day 2: Role shadowing → Day 3: Buddy assignment → 30-day check-in → 90-day feedback session.

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6 Steps Process

Formal vs Informal

5 Benefits

Orientation ≠ Training

Short-term: 1-7 days

Zomato Journey

Socialization

Socialization = Process by which new employees learn & adapt to organizational culture, values, norms & expected behaviors. Long-term process (weeks to months).

Stages of Socialization (Feldman's Model)

1. Pre-arrival



2. Encounter



3. Metamorphosis

Pre-arrival: Expectations formed before joining (via interviews, website)

Encounter: Reality vs expectations clash, learn organizational reality

Metamorphosis: Adapt to culture, resolve conflicts, become comfortable

Socialization Tactics (Van Maanen & Schein)

Collective

- ▶ Group-based onboarding
- ▶ Standardized experience
- ▶ Military, call centers

Individual

- ▶ Unique experiences
- ▶ Customized approach
- ▶ Professional roles

Formal

- ▶ Segregated from work
- ▶ Structured training

Informal

- ▶ Learn while working
- ▶ Trial and error

Outcomes of Socialization

- ✓ Job satisfaction ↑
- ✓ Organizational commitment ↑
- ✓ Turnover ↓
- ✓ Performance ↑

Real-World Example

Microsoft: "New Employee Onboarding" (NEO) program spans 6 months → Month 1: Culture + Tools → Month 2-3: Team integration → Month 4-6: Independent contribution + mentorship.

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3 Stages: P-E-M

Feldman's Model

Collective vs Individual

Formal vs Informal

Long-term Process

Microsoft NEO 6mo

Orientation vs Socialization

Both help new employees adjust but differ in scope, duration & depth. Socialization is broader & deeper than orientation.

Key Differences

Basis	Orientation	Socialization
Definition	Introduce to job & org	Adapt to culture & norms
Duration	Short (1-7 days)	Long (weeks to months)
Scope	Narrow (job info)	Broad (culture, values)
Nature	Formal, structured	Formal + Informal
Focus	Job-specific	Organization-wide
Outcome	Job clarity	Cultural fit
Process	One-time event	Ongoing process

Relationship

Process Continuum

Orientation



Socialization



Full Integration

Orientation is the STARTING POINT of Socialization

Trick: "Orientation is a subset of Socialization. All orientation is socialization, but not all socialization is orientation."

1-Minute Revision

O = Short, Narrow

S = Long, Broad

O = Job-focused

S = Culture-focused

O is subset of S

7 Differences

UNIT 3

Training & Development

*Training vs Development, Need Assessment, Training Process, Methods,
Benefits & Learning Principles*

Training vs Development

Training: Short-term skill improvement for current job. Development: Long-term growth for future roles.

Key Differences

Aspect	Training	Development
Focus	Current job	Future growth
Duration	Short-term	Long-term
Scope	Specific skills	Overall growth
Initiative	Organization-driven	Self + Organization
Objective	Improve performance now	Prepare for future
Audience	Operatives, supervisors	Managers, leaders
Result	Skill acquisition	Career advancement

Training Examples

- ✓ Software skills for data entry operator
- ✓ Safety procedures for factory workers
- ✓ Customer handling for call center agents

Development Examples

- 💡 Leadership program for high potentials
- 💡 MBA sponsorship for future managers
- 💡 Cross-functional project exposure

Why Both Matter:

- 🧠 Training → immediate productivity boost
- 🧠 Development → long-term talent pipeline
- 🧠 Together → employee engagement + retention

Memory Trick

Training = Today's Tasks
Development = Direction for Destiny (future)

1-Minute Revision

T = Now, D = Future

7 Key Differences

T = Short, D = Long

T = Org-driven

D = Self + Org

Both = Retention

Need Assessment for Training

TNA (Training Needs Analysis) = Systematic process of identifying gaps between current & desired performance to determine training requirements.

Three Levels of Need Assessment

Organization Level



Task Level



Person Level

Organization Level

- ▶ Strategic goals alignment
- ▶ Resource availability
- ▶ Organizational climate
- ▶ Where training is needed?

Task Level

- ▶ Job description analysis
- ▶ Performance standards
- ▶ Knowledge/skills required
- ▶ What should be taught?

Person Level

- ▶ Individual performance gaps
- ▶ Who needs training?
- ▶ Readiness to learn

TNA Methods

- ★ Performance appraisal data
- ★ Job analysis
- ★ Observation of work
- ★ Surveys & questionnaires
- ★ Interviews with employees & managers
- ★ Skills tests

Exam Tip: Without proper TNA, training becomes a waste. Always mention the 3 levels (O-T-P) for full marks.

Real-World Example

Air India: Post-merger TNA → Org level: Cultural integration needed → Task level: New procedures for cabin crew → Person level: 200 pilots needed type-rating training for new aircraft.

Memory Trick — OTP

O rganization → **WHERE?**

T ask → **WHAT?**

P erson → **WHO?**

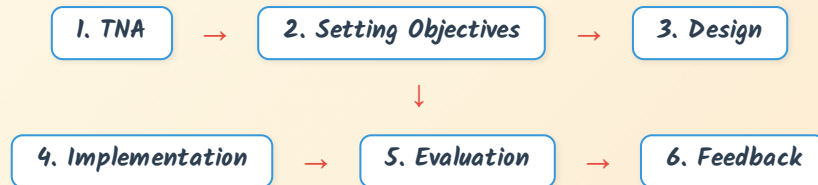
OTP = One Training Plan

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Training Process

Complete training cycle from identifying needs to evaluating results. Systematic approach ensures effective training delivery.

Complete Training Process



Step-by-Step

- ★ **TNA:** Identify performance gaps
- ★ **Objectives:** Define what trainees should learn (SMART goals)
- ★ **Design:** Content, methods, materials, schedule
- ★ **Implementation:** Deliver the training program
- ★ **Evaluation:** Measure effectiveness
- ★ **Feedback:** Improvements for future programs

Kirkpatrick's Evaluation Model



L1: Did they like it? | L2: Did they learn? | L3: Did behavior change? | L4: Business impact?

Trick: Kirkpatrick levels spell RLBR: "Really Liked, But Results?" = Reaction, Learning, Behavior, Results

Real-World Example

Infosys: "Lex" training platform → TNA via skill gap analysis → Personalized learning paths → Kirkpatrick L4: Projects delivered 20% faster post-training.

1-Minute Revision

6 Steps: TNA to Feedback Kirkpatrick 4 Levels L1 = Reaction L2 = Learning L3 = Behavior L4 = Results

Apprenticeship Training

Apprenticeship = Training method combining on-the-job training with classroom instruction. Trainee works under experienced worker while learning.

Key Features

- ★ Work + Learn simultaneously
- ★ Mentor-guided (experienced worker)
- ★ Earn while learning (stipend)
- ★ Long duration (1-4 years)
- ★ Formal agreement between parties

Where Used

- ✓ Manufacturing (ITI)
- ✓ Construction
- ✓ Electrician/Plumber
- ✓ Carpentry
- ✓ Mechanics
- ✓ Traditional crafts

Apprenticeship Act, 1961 (India)

- ✚ Mandatory for certain industries
- ✚ Minimum 2.5% - 15% of workforce as apprentices
- ✚ Stipend paid during training
- ✚ NAPS: National Apprenticeship Promotion Scheme

Pros & Cons

Pros	Cons
Practical hands-on learning	Long duration
Earn while learning	Stipend is low
Industry-ready skills	Limited to trades
High retention rate	Formal structure needed

Real-World Example

Tata Motors: Apprenticeship program at Jamshedpur plant → 3-year program → 200+ apprentices annually → 70% conversion to permanent roles → Gold standard in manufacturing training.

1-Minute Revision

Work + Learn

Earn while learning

1-4 years

Apprenticeship Act 1961

NAPS Scheme

Tata Motors 70%

Simulation Training

Simulation = Training in an artificial environment that replicates real work conditions. Safe, controlled practice without real-world risks.

Types of Simulation

- ★ **Vestibule Training:** Separate area with identical equipment → practice without disrupting production
- ★ **Computer Simulation:** Software-based scenarios (flight simulators, business games)
- ★ **VR/AR Training:** Immersive technology for realistic practice
- ★ **Case Study:** Analyze real/imaginary business situations
- ★ **Role Play:** Act out workplace scenarios

Advantages

- ✓ Safe environment (no real risks)
- ✓ Mistakes = learning opportunities
- ✓ Repetition possible
- ✓ Measurable performance
- ✓ Cost-effective long-term

Disadvantages

- ⚠ High setup cost
- ⚠ May not replicate all real conditions
- ⚠ Technology dependency

Real-World Example

Air India: Flight simulators for pilot training → \$15M+ full-motion simulators → Practice emergency scenarios (engine failure, weather) safely → Mandatory 40 hours/year per pilot.

Memory Trick

- S**afe practice
- I**mitates reality
- M**istakes are okay
- U**nlimited repetition
- L**earning by doing
- A**rtificial environment
- T**echnology-enhanced
- E**ffective results

Mnemonic: "SIMULATE"

1-Minute Revision

Artificial Environment

5 Types

Vestibule = Separate Area

Safe + Repetition

High Setup Cost

Programmed Learning

Programmed Learning (PL) = Self-paced training method where material is broken into small sequential steps with immediate feedback. Based on B.F. Skinner's operant conditioning.

Principles of Programmed Learning

- ★ **Principle of Small Steps:** Content in small, logical increments
- ★ **Principle of Active Response:** Learner must respond at each step
- ★ **Principle of Immediate Feedback:** Know if answer is correct right away
- ★ **Principle of Self-pacing:** Learner controls speed
- ★ **Principle of Low Error Rate:** Designed to minimize mistakes

Types of Programs

Linear (Skinner)

- ▶ Fixed sequence
- ▶ All learners same path
- ▶ Simple, straightforward

Branching (Crowder)

- ▶ Multiple paths
- ▶ Based on responses
- ▶ Adaptive, personalized

Delivery Methods

- 💡 Programmed textbooks
- 💡 Computer-assisted instruction (CAI)
- 💡 Mobile learning apps
- 💡 E-learning modules

Real-World Example

BYJU'S: Uses programmed learning principles → Content in 10-15 min modules → Immediate quiz after each topic → Adaptive difficulty based on performance → 150M+ users.

1-Minute Revision

5 Principles

Small Steps

Active Response

Immediate Feedback

Linear vs Branching

BYJU'S Example

Role Playing

Role Playing = Training technique where trainees act out roles in realistic workplace scenarios to practice interpersonal skills & decision-making.

How Role Playing Works



Common Scenarios

- ✓ Handling employee grievance
- ✓ Performance appraisal discussion
- ✓ Customer complaint resolution
- ✓ Conflict between team members
- ✓ Salary negotiation
- ✓ Conducting a disciplinary meeting

Advantages & Limitations

Advantages	Limitations
Practical skill practice	Some feel awkward acting
Safe environment	Artificial situation
Immediate feedback	Time-consuming
Builds empathy	Requires skilled facilitator
High engagement	Limited to interpersonal skills

Real-World Example

Amazon: "Customer Obsession" training uses role-play → CS agents practice handling angry customers → Managers play irate customers → Debrief with STAR method feedback.

1-Minute Revision

Act out scenarios 6 Steps Process Interpersonal Skills Safe Practice 5 Pros, 4 Cons Amazon CS Training

Benefits of Training

Training benefits flow to Organization, Employees & Society. Understanding all three levels is essential for exam answers.

Benefits to Organization

- ★ Increased productivity & efficiency
- ★ Improved quality of work
- ★ Reduced wastage & accidents
- ★ Lower employee turnover
- ★ Better organizational image
- ★ Adaptability to change

Benefits to Employees

- ✓ Skill enhancement & knowledge
- ✓ Career advancement opportunities
- ✓ Higher earning potential
- ✓ Increased job security
- ✓ Self-confidence & motivation
- ✓ Personal growth

Benefits to Society

- 💡 Skilled workforce → economic growth
- 💡 Reduced unemployment
- 💡 Better quality of life
- 💡 Social mobility

ROI of Training

Measuring Training ROI:

- 🧠 $ROI = (Benefits - Costs) / Costs \times 100$
- 🧠 Average ROI for training: 10-20x the investment
- 🧠 Companies investing in training: 24% higher profit margins

Real-World Example

Motorola: Famous study → Every \$1 spent on training = \$30 ROI → Reduced manufacturing defects by 80% → Productivity gains of 204% over 5 years.

Memory Trick — OES

O rganization → Productivity, Quality, Profit
E mployee → Skills, Career, Confidence
S ociety → Economy, Employment, Growth
OES = "Organization, Employee, Society"

1-Minute Revision

3 Levels: OES

6 Org Benefits

6 Employee Benefits

4 Society Benefits

ROI Formula

Motorola \$1=\$30

Learning Principles

Understanding how people learn helps design effective training. These principles guide trainers to maximize learning outcomes.

Key Learning Principles

- ★ **Reinforcement:** Reward correct behavior to increase repetition (Skinner)
- ★ **Practice:** Repetition strengthens learning ("practice makes perfect")
- ★ **Whole vs Part:** Teach simple tasks as whole, complex tasks in parts
- ★ **Transfer of Learning:** Apply learning from one situation to another
- ★ **Readiness:** Learner must be physically & mentally ready
- ★ **Motivation:** Internal (interest) + External (rewards) drive learning
- ★ **Feedback:** Knowledge of results improves performance
- ★ **Active Participation:** Learning by doing > passive listening
- ★ **Individual Differences:** People learn at different speeds

Adult Learning Principles (Andragogy)

- ✓ Adults are self-directed learners
- ✓ Need to know WHY they're learning
- ✓ Draw from experience
- ✓ Ready to learn when needed
- ✓ Problem-centered (not subject-centered)
- ✓ Motivated by internal factors

Trick: Andragogy = Adult learning. Pedagogy = Child learning. In corporate training, use Andragogy principles → self-directed, experience-based, problem-centered.

Memory Trick — RIP WARM FAI

R einforcement • **I** ndividual Differences • **P** ractice
W hole vs Part • **A** ctive Participation • **R** eadiness • **M** otivation
F eedback • **A** ndragogy • **I** ndividual Differences

"RIP WARM FAI" = Rest In Peace, Warm Fire

1-Minute Revision

9 Principles

Andragogy = Adult

Pedagogy = Child

Self-directed

Experience-based

Problem-centered

UNIT 4

Performance Appraisal & Compensation

*PA, Modern Methods, Errors, Rank & Yank, Enron Case, Compensation,
Incentives, Maslow Theory*

Performance Appraisal

Performance Appraisal (PA) = Systematic evaluation of employee's job performance & potential for development.
Measures actual performance vs expected standards.

Objectives of PA

- ★ Compensation decisions (raise, bonus)
- ★ Promotion & transfer decisions
- ★ Training needs identification
- ★ Feedback for improvement
- ★ Career planning
- ★ Validation of selection methods

Traditional PA Methods

Absolute Methods

- ▶ Rating Scale
- ▶ Checklist
- ▶ Forced Choice
- ▶ Critical Incident
- ▶ Essay Method

Relative Methods

- ▶ Ranking Method
- ▶ Paired Comparison
- ▶ Forced Distribution

PA Process

Set Standards



Measure Performance



Compare



Discuss Results



Corrective Action



Follow-up

Exam Warning: PA ≠ PM. PA is a component of PM. PA = evaluation. PM = complete system including goal setting, coaching, development.

1-Minute Revision

6 Objectives

5 Absolute Methods

3 Relative Methods

6-Step Process

PA ≠ PM

Compensation link

Performance Management vs Appraisal

Performance Management (PM) = Continuous strategic process. **Performance Appraisal (PA)** = Periodic evaluation event. PM is broader than PA.

Key Differences

Aspect	Performance Management	Performance Appraisal
Nature	Continuous, ongoing	Periodic (annual/semi-annual)
Focus	Future development	Past performance
Approach	Forward-looking	Backward-looking
Scope	Holistic (goals, coaching, dev)	Evaluation only
Ownership	Manager + Employee	Top-down (manager-led)
Outcome	Development plan	Rating/score
Relationship	Collaborative	Judgmental

Performance Management Cycle

Goal Setting



Coaching



Review



Development

This cycle REPEATS continuously throughout the year

Trick: PM = PROACTIVE (planning, coaching, developing). PA = REACTIVE (evaluating what happened).

Real-World Example

Microsoft: Shifted from annual PA to continuous PM → "Connect" conversations every 2 weeks → Real-time feedback via "Perspectives" tool → Employee engagement ↑ 15%.

1-Minute Revision

PM = Continuous

PA = Periodic

PM = Future

PA = Past

PM includes PA

Microsoft Shift

Modern Appraisal Methods

Modern methods focus on behavior, results & multiple perspectives. They are more objective & development-oriented than traditional methods.

Key Modern Methods

- 🔥 **MBO (Management by Objectives):** Goal-based appraisal
- 🔥 **BARS:** Behaviorally Anchored Rating Scales
- 🔥 **360-Degree Feedback:** Multi-rater feedback
- 🔥 **Assessment Centers:** Multiple simulated exercises
- 🔥 **BSC (Balanced Scorecard):** Financial + non-financial metrics
- 🔥 **Human Asset Accounting:** Monetary value of human resources

Modern vs Traditional

Traditional	Modern
Trait-based (personality)	Behavior/Results-based
Manager only rates	Multiple raters
Annual review	Continuous feedback
Subjective	Objective & measurable
Judgmental	Developmental

Why Modern Methods?

- 🧠 Traditional methods = bias-prone (halo, recency)
- 🧠 Modern methods = multiple data points
- 🧠 Focus on growth, not just judgment

1-Minute Revision

6 Modern Methods

MBO, BARS, 360°

Assessment Centers

BSC, HRA

Behavior + Results

Multi-rater

BARS Method

BARS = Behaviorally Anchored Rating Scales. Combines critical incidents with rating scales. Each rating point is defined by specific behavioral example.

How BARS Works

- ★ 1. Identify job dimensions (e.g., communication, teamwork)
- ★ 2. Collect critical incidents (effective & ineffective behaviors)
- ★ 3. Retranslate & categorize incidents into dimensions
- ★ 4. Assign scale values (1-5 or 1-7)
- ★ 5. Create final scale with behavioral anchors

BARS Example: Customer Service

- 1 - Poor** Ignores customer complaints, rude responses
- 2 - Fair** Acknowledges complaints but delays response
- 3 - Good** Responds within 24hrs, provides basic solution
- 4 - V.Good** Proactive follow-up, exceeds expectations
- 5 - Excellent** Anticipates needs, creates loyalty programs

Advantages & Disadvantages

Advantages	Disadvantages
Clear behavioral standards	Time-consuming to develop
More objective	One scale per dimension
Good feedback tool	Expensive to create
Reduces rating errors	Requires regular updates

Memory Trick

Behavior
Anchored
Rating
Scale

"BARS = Behavior Anchors Rate Simply"

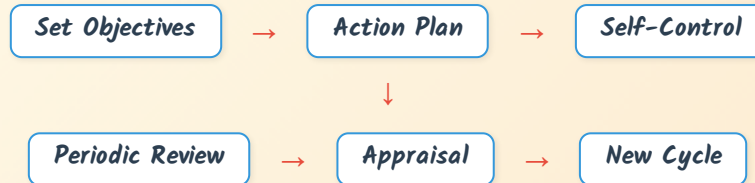
1-Minute Revision

5 Steps to create Critical Incidents 1-5 Scale 4 Advantages 4 Disadvantages Objective

MBO Method

MBO = Management by Objectives (Peter Drucker, 1954). Performance measured against mutually agreed goals. Both manager & employee set objectives together.

MBO Process



SMART Objectives

- S** pecific → Clear & precise
- M** easurable → Quantifiable
- A** chievable → Realistic
- R** elevant → Aligned to org goals
- T** ime-bound → Deadline

Advantages & Limitations

Advantages	Limitations
Clear, measurable goals	Time-consuming process
Employee involvement ↑	Short-term focus risk
Objective evaluation	Rigid if goals change
Aligns individual-org goals	Quality may be ignored

Exam Tip: MBO is one of the MOST asked methods. Always mention SMART goals & Drucker as the founder. Mention it's a "management philosophy" not just an appraisal tool.

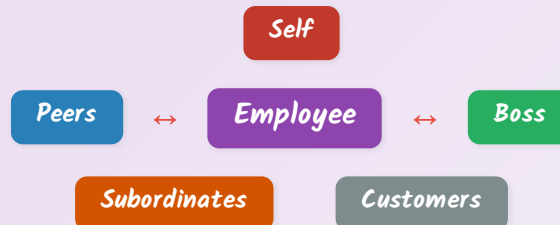
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Drucker 1954 6 Steps SMART Goals Mutual Goal Setting 4 Pros, 4 Cons Management Philosophy

360 Degree Feedback

360° Feedback = Multi-rater appraisal where feedback is collected from all directions: boss, peers, subordinates & self.

Sources of Feedback



Advantages

- ✓ Comprehensive, multi-perspective view
- ✓ Reduces bias (one rater bias)
- ✓ Identifies blind spots
- ✓ Promotes self-awareness
- ✓ Supports leadership development

Disadvantages

- ⚠ Time-consuming & expensive
- ⚠ Potential for "rating games"
- ⚠ Requires anonymous system
- ⚠ Conflicting feedback confusing

Trick: 360° = "All around" feedback. Think of a circle → feedback comes from every direction. Also called multi-rater feedback.

Real-World Example

Genpact: 360° feedback for all managers → 8 competencies assessed → Anonymous online collection → Development plan created from gaps → 40% improvement in leadership scores after 2 years.

1-Minute Revision

6 Sources

Multi-rater

5 Advantages

4 Disadvantages

All-around feedback

Genpact 8 competencies

Performance Appraisal Errors

Raters make systematic errors when evaluating employees. Understanding these errors helps design better appraisal systems & train raters.

Common PA Errors

- 🔥 **Halo Effect:** One trait influences overall rating
- 🔥 **Horn Effect:** One negative trait colors entire rating
- 🔥 **Recency Effect:** Recent performance overshadows past
- 🔥 **Primacy Effect:** First impression dominates
- 🔥 **Central Tendency:** Avoiding extreme ratings, giving middle scores
- 🔥 **Leniency:** Giving uniformly high ratings
- 🔥 **Strictness:** Giving uniformly low ratings
- 🔥 **Contrast Error:** Comparing employees instead of standards
- 🔥 **Similarity Bias:** Favoring those similar to rater
- 🔥 **Spillover Effect:** Past rating affects current rating

How to Minimize Errors

- ✓ Rater training workshops
- ✓ Multiple raters (360°)
- ✓ Behavioral anchors (BARS)
- ✓ Regular documentation
- ✓ Calibration meetings

Exam Tip: Halo & Recency are the MOST commonly asked errors. Always define with example. "Halo = one good trait makes everything seem good. Recency = what you did last week matters more than last year."

1-Minute Revision

10 Common Errors

Halo = #1 asked

Recency = #2 asked

Central Tendency

Leniency vs Strictness

5 Ways to Minimize

Halo Effect

Halo Effect = Rater's overall positive impression of an employee based on ONE outstanding trait influences ratings on ALL other dimensions.

How Halo Effect Works

One Outstanding Trait



Rater's Mind



ALL Traits Rated High

Example of Halo Effect

Scenario: Employee is excellent at sales. Rater assumes they must also be great at teamwork, punctuality, communication → Rates everything HIGH even if other areas are average.

How to Prevent

- ✓ Rate each dimension separately
- ✓ Use BARS (behavioral anchors)
- ✓ Multiple raters
- ✓ Rater training on awareness
- ✓ Document specific incidents

Halo vs Horn Effect

Halo Effect	Horn Effect
One POSITIVE trait dominates	One NEGATIVE trait dominates
Everything rated high	Everything rated low
"Great at X = Great at everything"	"Bad at X = Bad at everything"

1-Minute Revision

One trait = All high

Opposite = Horn Effect

Rate separately

Use BARS

Multiple raters

Most asked error

Recency Effect

Recency Effect = Rater gives disproportionate weight to recent performance while ignoring performance during the rest of the appraisal period.

How Recency Effect Works

Jan-Mar
Average

Apr-Jun
Average

Jul-Sep
Average

Oct-Nov
Good

December
OUTSTANDING!

Rater remembers only December → Rates entire year HIGH

Why It Happens

- △ Human memory favors recent events
- △ No documentation system
- △ Annual review = too much gap
- △ Rater didn't keep notes

How to Prevent

- ✓ Continuous feedback (not just annual)
- ✓ Critical incident method
- ✓ Quarterly checkpoints
- ✓ Maintain performance logs

Trick: Recency = "RECENT seesay" (RECENT in memory). Primacy = "FIRST impression." Don't confuse: Recency = LAST, Primacy = FIRST.

1-Minute Revision

Recent = Dominant

Memory Bias

Recency = Last

Primacy = First

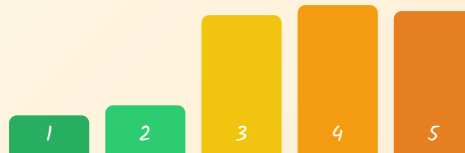
4 Prevention Methods

Continuous Feedback

Central Tendency Error

Central Tendency Error = Rater avoids extreme ratings & gives middle/average ratings to all employees regardless of actual performance differences.

How It Manifests



All rated 3-4 even though performance varies greatly

Why Raters Do This

- ⚠ Avoid confrontation with poor performers
- ⚠ Don't want to explain high ratings
- ⚠ Lack of confidence in judgment
- ⚠ Laziness in differentiation

Consequences

- 🔥 Poor performers not identified for improvement
- 🔥 High performers not recognized
- 🔥 Demotivates top talent
- 🔥 Compensation decisions become unfair

How to Prevent

- ✓ Forced distribution method
- ✓ BARS with specific anchors
- ✓ Rater calibration sessions
- ✓ Require justification for each rating

1-Minute Revision

Avoid extremes

All rated average

4 Reasons

4 Consequences

Forced Distribution fix

Calibration helps

Rank and Yank System

Rank and Yank = Forced ranking system where employees ranked against each other; bottom performers are terminated. Also called "Vitality Curve" (Jack Welch, GE).

How It Works



Pros & Cons

Pros	Cons
Rewards true top performers	Creates toxic competition
Eliminates deadwood	Discourages teamwork
Drives high performance culture	Legal risks (discrimination)
Clear differentiation	Loss of good employees

Current Trend: Most companies (including GE) have ABANDONED pure rank-and-yank. Now use "Continuous Performance Management" with coaching focus instead.

Real-World Example

Microsoft: Used stack ranking until 2013 → Abandoned due to internal competition harming collaboration → Shifted to "Growth Mindset" approach → Team performance improved significantly.

1-Minute Revision

20-70-10 Split

Jack Welch, GE

Bottom 10% fired

4 Pros, 4 Cons

Most companies abandoned

Microsoft 2013 shift

Enron Case Study

Enron Scandal (2001) = Classic case of how toxic performance management can destroy a company. Rank-and-yank system contributed to unethical behavior.

Background

- ★ Enron: America's 7th largest company (2000)
- ★ Energy trading company based in Houston
- ★ Filed for bankruptcy Dec 2001
- ★ \$74 billion lost, 20,000 jobs gone

HR Failures at Enron

- 🔥 **Performance System:** "Rank and Yank" → cut bottom 15% yearly
- 🔥 **Culture:** Only results mattered, ethics ignored
- 🔥 **Compensation:** Tied to short-term stock price
- 🔥 **Leadership:** Ken Lay & Jeff Skilling ignored warning signs
- 🔥 **Whistleblowers:** Sherron Watkins ignored

HR Lessons

- ✓ Performance = Results + Behavior (not just numbers)
- ✓ Ethics must be in performance criteria
- ✓ 360° feedback prevents manipulation
- ✓ Whistleblower protection essential
- ✓ Long-term > Short-term metrics

Analytical Insight

Root Cause Analysis:

- 🧠 PA system rewarded **ONLY** revenue generation
- 🧠 No behavioral or ethics components
- 🧠 Rank-and-yank created fear → employees hid losses
- 🧠 \$63B in hidden debt through SPVs

Memory Trick — ENRON

- E**thics ignored
- N**o behavioral criteria
- R**ank and Yank culture
- O**nly short-term focus
- N**o whistleblower protection

Lesson: Performance = WHAT + HOW

1-Minute Revision

7th largest → Bankrupt

Rank-and-Yank

Ethics Ignored

5 HR Lessons

Results + Behavior

\$74B lost

Compensation

Compensation = All forms of financial returns & tangible services & benefits employees receive as part of employment relationship. Not just salary!

Components of Compensation

Total Compensation

Direct

+

Indirect

+

Non-Financial

Direct Compensation

- ▶ Base salary/wages
- ▶ Bonuses
- ▶ Commissions
- ▶ Overtime pay
- ▶ Incentive pay

Indirect Compensation

- ▶ Health insurance
- ▶ Retirement benefits
- ▶ Paid leave
- ▶ Employee stock
- ▶ Company car

Objectives of Compensation Management

- ★ Attract & retain talent
- ★ Motivate performance
- ★ Internal equity (fair within org)
- ★ External equity (competitive in market)
- ★ Cost control
- ★ Legal compliance

Trick: "Compensation is EVERYTHING the employee gets, not just cash." Always mention direct + indirect + non-financial in exam answers.

1-Minute Revision

Direct + Indirect + Non-Fin

Not just salary

6 Objectives

Internal + External Equity

Attract, Retain, Motivate

Legal Compliance

Wage vs Salary

Wage: Payment based on hours worked, usually for manual/labor work. **Salary:** Fixed regular payment, not tied to hours, for professional/managerial work.

Key Differences

Aspect	Wage	Salary
Basis	Hourly/Daily output	Monthly/Annual fixed
Type of work	Manual, blue-collar	Non-manual, white-collar
Overtime	Paid extra	Generally not paid
Nature	Variable	Fixed
Examples	Factory worker, driver	Manager, engineer
Calculation	Hours × Rate	Fixed amount

Minimum Wage Act, 1948 (India)

- ✦ Fixes minimum wages for scheduled employments
- ✦ Revised periodically by government
- ✦ Varies by state, industry, skill level
- ✦ Basic + DA + HRA components

Trick: "Wage = Worker (blue-collar, hourly). Salary = Service (white-collar, fixed)."

1-Minute Revision

Wage = Variable, hourly

Salary = Fixed, monthly

6 Differences

Blue vs White collar

Min Wage Act 1948

Basic + DA + HRA

Direct vs Indirect Compensation

Direct: Monetary payments received directly. **Indirect:** Non-cash benefits with monetary value. Together = Total Rewards.

Comparison

Direct Compensation	Indirect Compensation
Salary/Wages	Health insurance
Bonus/Commission	Retirement plans (PF, Gratuity)
Overtime pay	Paid vacation/sick leave
Profit sharing	Company vehicle
Stock options (ESOPs)	Employee meals
Incentive pay	Education assistance
Cash form	Non-cash benefits

Fringe Benefits (India)

- ✓ Provident Fund (PF) - 12% employer contribution
- ✓ Employee State Insurance (ESI)
- ✓ Gratuity (5+ years service)
- ✓ Maternity/Paternity leave
- ✓ Leave Travel Allowance (LTA)
- ✓ Medical reimbursement

Cafeteria Approach

Employees choose benefits from a "menu" based on individual needs. Flexible → higher satisfaction. Eg: Young employees prefer stock options; parents prefer health insurance.

1-Minute Revision

Direct = Cash

Indirect = Non-cash

PF, ESI, Gratuity

Cafeteria Approach

Flexible Benefits

Total Rewards

Incentives & Bonus

Incentive: Variable pay linked to performance/results. **Bonus:** One-time payment, may or may not be performance-linked.

Types of Incentives

Individual Incentives

- ▶ Piece rate
- ▶ Commission
- ▶ Merit pay
- ▶ Suggestion awards

Group/Org Incentives

- ▶ Profit sharing
- ▶ Gain sharing
- ▶ ESOPs
- ▶ Team bonuses

Bonus Types

- ★ **Sign-on Bonus:** Joining incentive
- ★ **Retention Bonus:** Stay for specific period
- ★ **Performance Bonus:** Achievement-based
- ★ **Festival Bonus:** Cultural/seasonal (Diwali bonus in India)
- ★ **Referral Bonus:** For referring candidates

Payment of Bonus Act, 1965 (India)

- ✚ Mandatory for factories & establishments (20+ employees)
- ✚ Minimum bonus: 8.33% of salary
- ✚ Maximum bonus: 20% of salary
- ✚ Eligible if worked 30+ days in accounting year

Real-World Example

Salesforce: "Ohana Culture" → Individual commission (up to 50% of salary) + Team SPIFFs + Annual company-wide bonus based on revenue → Top performers earn 2x base salary.

1-Minute Revision

Incentive = Performance

Individual + Group

5 Bonus Types

Bonus Act 1965

8.33% min, 20% max

Salesforce SPIFFs

Wage Policy

Wage Policy = Government framework for regulating wages to ensure fair pay, social justice & economic development.

Objectives of Wage Policy

- ★ Ensure minimum living standard
- ★ Reduce income inequality
- ★ Promote industrial peace
- ★ Control inflation
- ★ Encourage productivity

Key Wage Legislations (India)

- ✓ **Minimum Wages Act, 1948:** Floor wage for scheduled employments
- ✓ **Payment of Wages Act, 1936:** Timely payment, deductions regulated
- ✓ **Equal Remuneration Act, 1976:** Equal pay for equal work (gender)
- ✓ **Code on Wages, 2019:** Unified law replacing multiple acts

Wage Policy Components

- ✚ Minimum wage (survival level)
- ✚ Fair wage (industry average)
- ✚ Living wage (decent standard)
- ✚ Need-based minimum wage

Memory Trick — Wage Levels

M inimum → Just survive
F air → Industry standard
L iving → Decent life
 $M < F < L$ (Minimum < Fair < Living)

1-Minute Revision

5 Objectives

4 Key Legislations

Min < Fair < Living

Code on Wages 2019

Equal Pay Act 1976

Social Justice

Maslow Theory Linkage

Maslow's Hierarchy (1943) = Human needs arranged in 5 levels. Lower needs must be satisfied before higher needs motivate. Directly linked to compensation & HR practices.

5 Levels of Needs



HR Applications

Need Level	HR Response
Physiological	Fair salary, timely payment
Safety	Job security, insurance, safe workplace
Social	Team building, friendly culture
Esteem	Recognition, awards, promotions
Self-Actualization	Challenging work, growth, creativity

Compensation Link

- ★ Base salary → Physiological needs
- ★ Benefits (PF, insurance) → Safety needs
- ★ Team bonuses → Social needs
- ★ Merit pay, recognition → Esteem needs
- ★ Stock options, autonomy → Self-actualization

Criticism & Modern View:

- 🧠 Not strictly hierarchical (multiple needs simultaneously)
- 🧠 Cultural differences ignored
- 🧠 Still useful as framework for total rewards design

Real-World Example

Google: Physiological → Top salaries. Safety → Comprehensive insurance. Social → Collaborative spaces. Esteem → Peer bonuses. Self-Actualization → 20% time for passion projects.

1-Minute Revision

5 Levels: P-S-S-E-S

Bottom-up

HR Application

Compensation Link

3 Criticisms

Google 20% Time

UNIT 5

Industrial Relations & Trade Unions

*IR, Trade Unions, Collective Bargaining, Strikes, Disputes, Government
Role & Case Studies*

Industrial Relations

Industrial Relations (IR) = Relationship between management, employees & government in the workplace. Covers all aspects of employment relationships.

Scope of IR

- ★ Employer-employee relationships
- ★ Trade union-management relationships
- ★ Collective bargaining processes
- ★ Grievance handling
- ★ Dispute resolution
- ★ Labor legislation compliance

Participants in IR

Employers + Employees + Government

Three-party relationship = Tripartite system

Objectives of Good IR

- ✓ Industrial peace & harmony
- ✓ Higher productivity
- ✓ Employee welfare
- ✓ Economic growth
- ✓ Social justice

Factors Affecting IR

- 🧠 Institutional (laws, unions)
- 🧠 Economic (wages, profits)
- 🧠 Social (culture, attitudes)
- 🧠 Psychological (motivation, morale)

Real-World Example

Tata Group: Pioneered good IR in India → Joint Consultation Councils since 1950s → No major strikes in 100+ years → "Tata way" of participative management.

1-Minute Revision

3 Participants

Tripartite System

6 Scope Areas

5 Objectives

4 Factors

Tata Model

Trade Unions

Trade Union = Voluntary association of workers formed to protect & promote their interests through collective action. Registered under Trade Unions Act, 1926.

Why Workers Join Unions

- ★ Higher wages & better benefits
- ★ Job security
- ★ Voice in workplace decisions
- ★ Protection against unfair treatment
- ★ Better working conditions
- ★ Social & psychological satisfaction

Types of Trade Unions

By Membership

- ▶ Craft union (same skill)
- ▶ Industrial union (same industry)
- ▶ General union (any worker)

By Structure

- ▶ Plant-level
- ▶ Local/national
- ▶ Federation (INTUC, CITU, BMS)

Trade Unions Act, 1926

- ✚ Registration provides legal status
- ✚ 7+ members needed to form
- ✚ Registered union = legal entity
- ✚ Immunity from certain criminal/civil proceedings

Problems of Trade Unions in India

- △ Multiple unions (political rivalries)
- △ Low membership
- △ Outside leadership
- △ Financial weakness
- △ Lack of education among workers

1-Minute Revision

TU Act 1926

7+ members

3 Types by Membership

3 Types by Structure

5 Problems

INTUC, CITU, BMS

Objectives & Functions of Trade Unions

Trade unions serve economic, social & political functions for their members & society.

Objectives

- ★ Secure fair wages
- ★ Improve working conditions
- ★ Ensure job security
- ★ Provide welfare facilities
- ★ Protect against unfair labor practices
- ★ Promote industrial democracy

Militant/Intra-mural Functions

- 🔥 **Collective Bargaining:** Negotiate with management
- 🔥 **Strike/Agitation:** Pressure tactics
- 🔥 **Grievance Handling:** Individual complaints
- 🔥 **Wage Negotiation:** Periodic wage revisions

Fraternal/Extra-mural Functions

- 💡 Cooperative societies
- 💡 Education & training
- 💡 Cultural activities
- 💡 Legal assistance
- 💡 Insurance schemes
- 💡 Housing facilities

Political Functions

- ✂️ Affiliation with political parties
- ✂️ Influence labor policy
- ✂️ Campaign for workers' rights

Memory Trick — Functions

- M**ilitant = Fighting for rights (wages, strike)
 - F**raternal = Welfare (co-op, education)
 - P**olitical = Policy influence
- "MFP" = Most Fighting People

1-Minute Revision

6 Objectives

4 Militant Functions

6 Fraternal Functions

3 Political Functions

MFP Mnemonic

Intra + Extra mural

Collective Bargaining

Collective Bargaining (CB) = Process of negotiation between employer (or group) & trade union to reach agreement on terms of employment. Collective = group, Bargaining = negotiation.

Collective Bargaining Process



Types of Collective Bargaining

By Level

- ▶ Plant-level
- ▶ Industry-level
- ▶ National-level

By Nature

- ▶ Distributive (win-lose)
- ▶ Integrative (win-win)
- ▶ Concession (give-take)

Importance of CB

- ✓ Peaceful conflict resolution
- ✓ Democratic process
- ✓ Flexible (vs rigid legislation)
- ✓ Stable labor relations
- ✓ Improved productivity

Pre-requisites for Successful CB

- ✦ Strong, representative union
- ✦ Mutual trust & respect
- ✦ Sufficient data for both sides
- ✦ Willingness to compromise
- ✦ Recognition of union by management

Real-World Example

Banking sector (IBA): Bi-partite settlement every 5 years → All nationalized banks negotiate together through IBA → 11th BPS (2020-25): 15% wage increase + 5-day banking + pension improvements.

1-Minute Revision

6-Step Process

3 Types by Level

3 Types by Nature

5 Importance

5 Pre-requisites

IBA Banking BPS

Strike vs Lockout

Strike: Employees stop working to pressure management. **Lockout:** Employer closes workplace to pressure employees. Both are weapons in industrial conflict.

Key Differences

Aspect	Strike	Lockout
Initiated by	Workers/Union	Employer/Management
Action	Stop working	Close workplace
Purpose	Pressure management	Pressure workers
Weapon of	Labor	Capital
Legal status	Legal if conditions met	Legal if conditions met
Workers' pay	Usually no wages	No wages during lockout

Types of Strikes

- ★ **Economic Strike:** Wages, benefits
- ★ **Sympathy Strike:** Support another union
- ★ **General Strike:** All unions in region/industry
- ★ **Go-slow:** Reduce work pace
- ★ **Work-to-rule:** Follow rules exactly (slows work)
- ★ **Gherao:** Confine managers (India-specific)
- ★ **Hunger Strike:** Fast until demands met

Legal Provisions (Industrial Disputes Act)

- ⚠ Strike/Lockout illegal if: Before expiry of arbitration agreement
- ⚠ Illegal if: Conciliation proceedings pending
- ⚠ Illegal if: 14 days notice not given (public utility)
- ⚠ Illegal if: During pendency of tribunal proceedings

Memory Trick

Strike = Workers Stop
Lockout = Management Locks
 "S for Stop (workers), L for Lock (employer)"

1-Minute Revision

Strike = Workers

Lockout = Management

7 Strike Types

ID Act provisions

Legal conditions

Public utility = 14 days

Industrial Disputes

Industrial Dispute = Any conflict between employers & employees or employees & employees connected to employment, terms of employment, or work conditions.

Causes of Industrial Disputes

Economic Causes

- ▶ Wage demands
- ▶ Bonus disputes
- ▶ Working hours
- ▶ Leave rules

Non-Economic Causes

- ▶ Victimization
- ▶ Political interference
- ▶ Lack of communication
- ▶ Multiplicity of unions

Types of Disputes

- ★ **Interest Disputes:** About future terms (wage increase)
- ★ **Rights Disputes:** About existing agreement violations
- ★ **Grievance:** Individual complaint

Impact of Disputes

- 🔥 Loss of production & revenue
- 🔥 Wages lost for workers
- 🔥 Damage to public image
- 🔥 Strained labor relations

Prevention Strategy:

- 🧠 Good communication channels
- 🧠 Fair grievance handling
- 🧠 Workers' participation in management
- 🧠 Strong trade union relations

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Economic + Non-Economic

Interest vs Rights

4 Impacts

4 Prevention

Wage = #1 cause

Communication key

Dispute Resolution Methods

Methods to resolve industrial disputes: conciliation, arbitration & adjudication. Progress from voluntary to compulsory methods.

Dispute Resolution Hierarchy

Collective Bargaining



Conciliation



Arbitration



Adjudication

Left = Voluntary, Right = Compulsory/Government

Methods Explained

- ★ **Conciliation:** Neutral third party facilitates discussion (no binding decision)
- ★ **Mediation:** Mediator suggests solutions (non-binding)
- ★ **Arbitration:** Arbitrator gives binding decision (voluntary)
- ★ **Adjudication:** Government tribunal/labor court (compulsory)

Machinery Under ID Act, 1947

- ✚ **Works Committee:** Joint management-worker body at plant level
- ✚ **Conciliation Officer:** Govt-appointed mediator
- ✚ **Board of Conciliation:** For complex disputes
- ✚ **Labor Court:** Adjudication
- ✚ **Industrial Tribunal:** Higher adjudication
- ✚ **National Tribunal:** Disputes of national importance

Memory Trick — Resolution Order

Collective Bargaining → Talk it out

Conciliation → Someone helps

Arbitration → Decision imposed

Adjudication → Government decides

"CCAA" = Clear Communication Avoids Adjudication

1-Minute Revision

4 Methods

CCAA Order

6 ID Act Machinery

Conciliation = Non-binding

Arbitration = Binding

Adjudication = Compulsory

Government Role in IR

Government acts as regulator, facilitator & protector in industrial relations through legislation, institutions & policies.

Government as Regulator

- ★ Enacts labor laws
- ★ Fixes minimum wages
- ★ Regulates working hours
- ★ Ensures safety standards

Government as Facilitator

- ✓ Sets up conciliation machinery
- ✓ Promotes tripartite bodies (ILC, SLC)
- ✓ Encourages collective bargaining
- ✓ Supports workers' education

Government as Protector

- 💡 Protects worker rights
- 💡 Prevents exploitation
- 💡 Social security schemes (ESI, PF)
- 💡 Employment exchanges

Key Labor Legislations (India)

- | | |
|---------------------------|------------------------------|
| ▶ Factories Act, 1948 | ▶ ESI Act, 1948 |
| ▶ ID Act, 1947 | ▶ EPF Act, 1952 |
| ▶ Trade Unions Act, 1926 | ▶ Payment of Bonus Act, 1965 |
| ▶ Minimum Wages Act, 1948 | ▶ Code on Wages, 2019 |

Trick: Remember the 4 codes of labor law 2019-2020: 1) Code on Wages, 2) Industrial Relations Code, 3) Code on Social Security, 4) Occupational Safety Code.

1-Minute Revision

3 Roles: R-F-P

8 Key Legislations

4 Labor Codes 2019

Regulator + Facilitator

Protector of Workers

Tripartite System

Maruti Suzuki Case Study

Maruti Suzuki Manesar Plant Violence (2012) = Worst industrial violence in India. Manager killed, plant vandalized. Classic case of IR failure.

Background

- ★ Manesar plant: 2,500+ workers, contract + permanent
- ★ June 2012: Workers wanted independent union (not MUKU)
- ★ July 18, 2012: General Manager (HR) burnt alive
- ★ 100+ managers injured, \$100M+ damage

HR Failures

- 🔥 **Contract Labor:** Dual treatment (contract vs permanent)
- 🔥 **Union Suppression:** Refused independent union registration
- 🔥 **Poor Communication:** No grievance redressal
- 🔥 **Unsafe Environment:** Security inadequate
- 🔥 **Wage Disparity:** Contract workers paid far less

Analytical Insight

Root Causes & Solutions:

- 🧠 Root: Contract labor system created "two classes" of workers
- 🧠 Root: Management refused dialogue with workers' union
- 🧠 Solution: Equal treatment of contract workers
- 🧠 Solution: Genuine workers' participation & union recognition
- 🧠 Solution: Grievance mechanisms + safety protocols

Lessons Learned

- ✓ Equal treatment of all workers
- ✓ Union recognition is a right
- ✓ Grievance channels must work
- ✓ Safety cannot be compromised
- ✓ Dialogue > Suppression

Exam Tip: This case is frequently asked. Mention: Contract labor dualism + Union suppression + Communication gap = Violent outcome. Always suggest solutions.

1-Minute Revision

July 18, 2012

GM HR killed

5 HR Failures

Contract labor dualism

Union suppression

Dialogue > Force

Worried CEO Case Study

Classic HRM case: A CEO is worried about high turnover, low productivity, labor unrest. Apply HRM concepts to diagnose & solve. Common exam question format.

Common Scenario

The Problem

- ▶ 20% annual turnover rate
- ▶ Productivity declining 15% over 2 years
- ▶ 3 strikes in last 12 months
- ▶ Employee satisfaction score: 2.8/5
- ▶ Grievance backlog: 200+ cases
- ▶ No training in 3 years

Diagnosis (What's Wrong?)

- 🔥 **HR Planning:** No workforce planning, reactive hiring
- 🔥 **Compensation:** Below market rate, no incentives
- 🔥 **Training:** Zero investment in development
- 🔥 **IR:** No grievance mechanism, union conflict
- 🔥 **Performance:** No appraisal system
- 🔥 **Engagement:** No employee involvement

Recommended Solutions

- ✅ **Immediate:** Open communication with union, clear grievance channel
- ✅ **Short-term:** Market compensation correction, TNA + training
- ✅ **Medium-term:** Implement PA system, career paths, engagement surveys
- ✅ **Long-term:** HRIS, culture transformation, succession planning

Answer Framework for Exam:

- 🧠 Step 1: Identify symptoms (turnover, strikes, low satisfaction)
- 🧠 Step 2: Diagnose root causes (compensation, training, IR, PA)
- 🧠 Step 3: Link to HRM theory (Maslow, Herzberg, IR principles)
- 🧠 Step 4: Give actionable solutions with timelines

Memory Trick — CEO Solution

- D** iagnose the problem
- A** nalyze root causes
- C** reate action plan

E *valuate results*

"DACE" = Diagnose, Analyze, Create, Evaluate

1-Minute Revision

6 Symptoms

6 Root Causes

4 Solution Timelines

DACE Framework

Theory + Practice

Actionable Solutions

Quick Revision Checklist

All 54 Topics Covered! Use this page for final exam-day scan.

Unit 1: Introduction to HRM (7 topics)

Definition (Flippo) Objectives (SOPF) Scope (PDCIM) Functions (PODC) Line vs Staff HRP (OTP levels)
Flowchart

Unit 2: Recruitment & Selection (10 topics)

Recruitment (+ve process) Sources (Int vs Ext) Selection (-ve process) R vs S differences Job Analysis
Job Description Job Specification Orientation Socialization O vs S differences

Unit 3: Training & Development (9 topics)

T vs D TNA (OTP) Training Process Kirkpatrick 4 levels Apprenticeship Simulation Programmed Learning
Role Playing Learning Principles

Unit 4: PA & Compensation (18 topics)

PA definition PM vs PA Modern Methods BARS MBO + SMART 360° Feedback PA Errors (10) Halo Effect
Recency Effect Central Tendency Rank & Yank Enron Case Compensation Wage vs Salary Direct vs Indirect
Incentives & Bonus Wage Policy Maslow Theory

Unit 5: IR & Trade Unions (10 topics)

IR definition Trade Unions TU Objectives & Functions Collective Bargaining Strike vs Lockout Industrial Disputes
Dispute Resolution Government Role Maruti Case Worried CEO Case

ALL THE BEST!

Revise Smart. Write Analytical. Score Maximum.

Remember: Use mnemonics, flowcharts & examples in answers